Korea Autos

2Q preview: HMC softer, Kia in-line; cost inflation elevated, divergence led by volumes

Korea Auto, EV battery, Nuclear and Utility

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HMC delivered 2Q global retail sales of 999k (-4% y/y), while Kia's 2Q retail sales were robust at 837k (+6% y/y). We forecast OP of W2.9tn for both HMC/Kia (vs. BBGe W3.1tn/W2.8tn): HMC is likely to fall short of BBGe on lower UTR and input cost inflation, while Kia should be closer on resilient UTR. We estimate commodity inflation (aluminum/copper/plastics/DRAM) implies ~W0.35tn/~W0.25tn OP impact in 2Q, partly offset by FX tailwinds of ~W0.5tn/~W0.4tn per quarter, though inflation accelerated in 2Q and may not be fully offset in the following quarters. Investors are now focused on the next robotics catalysts, with Kia preferred on valuation (6x 2027E P/E) and >4% yield but HMC may offer greater upside sensitivity if robotics sentiment re-heats. We maintain Overweight on HMC/Kia, cut HMC's 2026-28E OP by 6-11% and tweak Kia -4% to +2% on input cost hike, and roll PTs to Dec-27 using 11x/9x target P/E for core auto business to derive W640,000 and W260,000 PTs.

- **HMC 2Q retail sales softer but likely to recoup in 2H on new models; Kia's sales momentum continued in 2Q.** HMC reported 2Q global retail sales of 999k units (-4% y/y), with weakness concentrated in Korea and Europe amid an aging model cycle and supply chain disruptions. We expect HMC's sales to improve in 2H as new models launch across Korea, the US, and Europe. Kia delivered robust retail sales of 837k units (+6% y/y), and we expect momentum to continue with its current model lineup.
- **2Q preview: HMC OP softer, Kia in-line with BBGe.** We forecast 2Q OP of W2.9tn for both HMC/Kia (vs. BBGe W3.1tn/W2.8tn). For HMC, we see downside vs. BBGe driven by a slower UTR (~85% vs. ~100% in 2Q25) and input cost inflation, while Kia should be closer to BBGe on resilient UTR (~100%). We estimate cost inflation impact of ~W0.35tn/~W0.25tn for HMC/Kia's OP in 2Q, following lingering effects of commodity cost inflation in 1Q (aluminium +13% q/q, copper +15% q/q, plastics +30% q/q, DRAM +72% q/q). FX tailwinds of ~W0.5tn/~W0.4tn per quarter should offset a meaningful portion, but HMC's volume headwind and lower UTR are incremental pressures, whereas Kia's volume growth should support OP. We remain mindful that inflation accelerated in 2Q and may not be fully offset by FX.
- **Investor feedback from our Asia marketing (link).** While investors broadly agree that the robotics upside is valid, the focus has shifted to what could reignite sentiment. In our view, key watch items include HMG's planned opening of the robotics training center this summer and expectations that the Group will finalize detailed investment plans and subsidiaries' role alignment within the robotics business by the year-end. Fundamentally, Kia is preferred on valuation (6x 2027E P/E based on our estimates) and dividend yield (>4%), although investor interest could rotate towards HMC if the robotics narrative heats up again.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target Prev End Date
Hyundai Motor Company	005380 KS	80,541	KRW	473,000	OW	n/c	640,000	Dec-27	670,000	Dec-26
Kia Corp	000270 KS	39,276	KRW	152,500	OW	n/c	260,000	Dec-27	240,000	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 07 Jul 26.

See page 15 for analyst certification and important disclosures, including non-US analyst disclosures.

- **Maintain Overweight on HMC/Kia.** We expect tangible progress in HMG's robotics and autonomous driving efforts to underpin our constructive stance on the OEMs. We lower our 2026-28 earnings estimates for HMC by 6-11% and tweak Kia's estimates by -4% to +2%, mainly reflecting the adverse impact from cost inflation. We roll-over our PTs from Dec-26 to Dec-27 and refresh our fair values for the core auto businesses, maintaining target P/E multiples of 11x/9x for HMC/Kia.

Table 1: HMC/Kia: 1H retail sales vs. Annual guidance

k units

	1H26 Actual	1H25	% y/y	2026 Annual guidance (wholesale)	Progress
HMC	**1,948**	**1,999**	**-3%**	**4,158**	**47%**
Korea	309	346	-11%	700	44%
Overseas	1,639	1,653	-1%	3,458	47%
Kia*	**1,616**	**1,543**	**5%**	**3,340**	**48%**
Korea	296	276	7%	565	52%
Overseas	1,320	1,267	4%	2,775	48%

*Excluding special-purpose vehicles
Source: Company data, J.P. Morgan estimates

Table 2: HMC/Kia: 2Q retail sales

k units

	2Q26 Actual	2Q25	% y/y
HMC	**999**	**1,043**	**-4%**
Korea	154	184	-16%
Overseas	844	859	-2%
Kia*	**837**	**791**	**6%**
Korea	154	142	9%
Overseas	682	649	5%

*Excluding special-purpose vehicles
Source: Company data

Table 3: HMC/Kia: JPMe vs. BBGe

Wbn, %

HMC									
	2026E			**2027E**			**2028E**		
	JPMe	**Consensus**	**Diff**	**JPMe**	**Consensus**	**Diff**	**JPMe**	**Consensus**	**Diff**
Revenue	**196,232**	**194,103**	**1%**	**206,671**	**202,353**	**2%**	**212,153**	**214,294**	**-1%**
OP	**11,822**	**11,969**	**-1%**	**13,280**	**13,441**	**-1%**	**14,099**	**14,766**	**-5%**
Kia									
	2026E			**2027E**			**2028E**		
	JPMe	**Consensus**	**Diff**	**JPMe**	**Consensus**	**Diff**	**JPMe**	**Consensus**	**Diff**
Revenue	**123,860**	**124,141**	**0%**	**129,822**	**130,274**	**0%**	**131,456**	**134,495**	**-2%**
OP	**10,412**	**10,241**	**2%**	**10,920**	**11,335**	**-4%**	**11,583**	**11,941**	**-3%**

Source: Bloomberg Finance L.P., J.P. Morgan estimates

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Table 4: HMC: New model schedule

HMC	1H26	2H26	1H27	2H27	2028~
Korea	**Staria EV** Grandeur F/L	**Avante (ICE/HEV)** **Tucson (ICE/HEV)** Santa Fe F/L **GV80,G80 (HEV)** **GV90** G90 F/L	**Kona (ICE/HEV)** **GV70 (HEV)** **Commercial PBV (ICE, EV)**	**Kona (EV)** Sonata F/L (ICE/HEV) **G90 Coupe** **Avante N (ICE/HEV)** Ioniq 9 F/L	Nexo F/L **Ioniq 5** Palisade F/L (ICE/HEV) **GV80**
US	Nexo F/L IONIQ 6 N F/L	**Tucson (ICE)** **GV80 (HEV)** **GV90**	**Tucson (HEV)** **Elantra (ICE/HEV)** **Santa Fe (EREV)** **GV70 (EREV, HEV)** **G80 (HEV)** G90 F/L	**Kona (ICE/HEV)**	**Kona EV** Sonata F/L (ICE/HEV) Ioniq 9 F/L **Avante N (ICE/HEV)** Palisade F/L (ICE/HEV) **GV80, G90 Coupe**
Europe	**Staria EV**	**i20 (ICE)** **IONIQ 3** **Tucson (ICE/HEV)** **GV90**	**Santa Fe (ICE/HEV)** **GV70 (HEV)**	**i20 (HEV)** **Kona (EV/HEV)**	Ioniq 9 F/L **b seg EV** **GV80, GV80 Coupe**
India	Exter F/L Accent F/L	1 model change	2 new nameplates; 3 model changes		

Source: Company data, EVs in blue; model change in bold.

Table 5: Kia: New model schedule

Kia	1H26	2H26	1H27	2H27	2028~
Korea	**Seltos (ICE/HEV)** Niro F/L		**PBV7**	**Sportage (ICE/HEV)**	
US	**Telluride (HEV)** **Seltos (ICE)**	**Niro HEV** **Seltos (HEV)** **EV3**		K4 F/L	**Sportage (ICE/HEV/PHEV)**
Europe	**Seltos (ICE)** **EV2** **Niro** C'eed F/L	**Seltos (HEV)**		**PBV7** **Sportage (ICE/HEV/PHEV)** **a segment SDV**	
India	**Syros EV**	**Sorento (ICE/HEV)**	**Sonnet**	**c segment EV**	

Source: Company data. EVs in blue; model change in bold.

Overweight

005380.KS, 005380 KS
Price (07 Jul 26):W473,000

▼**Price Target (Dec-27):W640,000**
Prior (Dec-26):W670,000

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	39,951	37,575	-5.9%
Adj. EPS - 27E (W)	50,453	42,181	-16.4%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	12,130	8,908A	7,985
Q2	11,365	9,402	12,204
Q3	8,572	11,311	12,658
Q4	3,918	7,608	8,882
FY	35,964	37,575	42,181

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	10	5	3	9	22
Growth	85	80	77	87	36
Momentum	22	61	71	23	62
Quality	53	49	48	56	65
Low Vol	54	24	27	9	61
ESGQ	97	100	99	98	99

Hyundai Motor Company

2Q softer on lower UTR and cost inflation

We expect HMC to report a W2.9tn OP in 2Q, coming in below BBGe of W3.1tn. HMC's global retail sales were weighed down by weakness in Korea amid an aging model cycle and supply chain disruptions, while a slower UTR (~85% vs. ~100% in 2Q25) pressured profitability. Input cost inflation, led by aluminum alongside copper, plastics, and DRAM, is estimated to have a meaningful negative impact on OP, and while FX tailwinds should offset a portion, volume headwinds and lower UTR would represent incremental drags. That said, we expect HMC's sales trajectory to improve from 2H onward as new models launch across Korea, the US, and Europe. We maintain Overweight, as tangible progress in HMG's robotics and autonomous driving efforts underpins our constructive stance. We lower our 2026-28E earnings estimates by 6-11% on cost inflation and set our Dec-27 PT at W640,000.

Table 6: HMC: 2Q26 preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPMe	BBG	Diff.				
Revenue	**48,874**	**49,101**	**0%**	**48,287**	**1%**	**45,939**	**6%**
OP	**2,876**	**3,144**	**-9%**	**3,602**	**-20%**	**2,515**	**14%**
OP margin	*5.9%*	*6.4%*		*7.5%*		*5.5%*	
NP	**2,697**	**2,674**	**1%**	**3,250**	**-17%**	**2,585**	**4%**
NP margin	*5.5%*	*5.4%*		*6.7%*		*5.6%*	

Source: Company data, J.P. Morgan estimates.

Table 7: HMC: Estimate revisions

Wbn, %

	2026E			2027E			2028E		
	Old	New	% chg	Old	New	% chg	Old	New	% chg
Sales	**197,637**	**196,232**	**-1%**	**205,560**	**206,671**	**1%**	**211,429**	**212,153**	**0%**
% y/y	*6.1%*	*5.4%*		*4.0%*	*5.3%*		*2.9%*	*2.7%*	
OP	**12,624**	**11,822**	**-6%**	**14,852**	**13,280**	**-11%**	**15,916**	**14,099**	**-11%**
OP margin	*6.4%*	*6.0%*		*7.2%*	*6.4%*		*7.5%*	*6.6%*	
NP	**11,222**	**10,684**	**-5%**	**13,657**	**11,783**	**-14%**	**15,156**	**12,739**	**-16%**
NP margin	*5.7%*	*5.4%*		*6.6%*	*5.7%*		*7.2%*	*6.0%*	
NP to Parent	**10,274**	**9,737**	**-5%**	**12,660**	**10,782**	**-15%**	**14,243**	**11,822**	**-17%**

Source: J.P. Morgan estimates.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	59.3%	-31.4%	1.3%	126.9%
Rel	-22.4%	-25.3%	-38.1%	-23.4%

Company Data

Shares O/S (mn)	260
52-week range (W)	787,000-204,500
Market cap ($ mn)	80,541
Exchange rate	1,528.65
Free float (%)	57.8%
3M ADV (mn)	3.55
3M ADV ($ mn)	1,423.3
Volatility (90 Day)	88
Index	KOSPI
BBG ANR (Buy | Hold | Sell)	31|5|0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	186,254	196,232	206,671	212,153
Adj. EBITDA	16,484	18,273	22,455	23,857
Adj. EBIT	11,468	11,822	13,280	14,099
Adj. net income	9,446	9,737	10,782	11,822
Net margin	5.1%	5.0%	5.2%	5.6%
Adj. EPS	35,964	37,575	42,181	46,250
BBG EPS	44,979	44,454	49,085	53,714
Cashflow from operations	(5,991)	21,562	17,997	20,964
FCFF	(14,358)	12,562	8,497	10,964
Margins and Growth				
Revenue Growth Y/Y (%)	6.3%	5.4%	5.3%	2.7%
EBITDA margin	8.9%	9.3%	10.9%	11.2%
EBITDA Growth Y/Y (%)	(11.0%)	10.8%	22.9%	6.2%
EBIT margin	6.2%	6.0%	6.4%	6.6%
Adj. EPS growth	(24.3%)	4.5%	12.3%	9.6%
Ratios				
Adj. tax rate	25.1%	26.1%	27.4%	26.4%
Interest cover	NM	NM	NM	NM
Net debt/Equity	1.2	1.1	1.0	0.9
Net debt/EBITDA	9.0	7.8	6.3	5.7
ROCE	3.2%	3.1%	3.3%	3.5%
ROE	8.4%	8.2%	8.6%	8.9%
Valuation				
FCFF yield	(11.6%)	10.2%	7.0%	9.1%
Dividend yield	2.1%	2.1%	2.4%	2.7%
EV/EBITDA	17.2	15.3	12.4	11.5
EV/Revenue	1.5	1.4	1.3	1.3
Adj. P/E	13.2	12.6	11.2	10.2

Summary Investment Thesis and Valuation

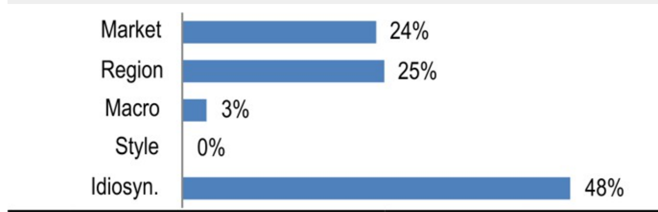
Investment Thesis

We reiterate Overweight on Hyundai Motor (HMC). Near-term earnings face headwinds from a slower UTR (~85%), input cost inflation led by aluminum, and volume weakness in Korea amid an aging model cycle. However, we expect a meaningful recovery in 2H as new models launch across Korea, the US, and Europe, driving volume normalization and UTR improvement. Beyond the core auto business, tangible progress in HMG's robotics and autonomous driving efforts provides additional upside optionality.

Valuation

Our Dec-27 PT of W640,000 is based on SOTP: 1) valuing the auto business at 11x 2028E P/E (referenced by non-traditional OEMs with ADAS capabilities); and 2) including the value of a 28% stake in Hyundai Motor Group's robotics business at ~W14tn, which reflects the mid-point of our bull/bear analysis after applying a 30% holding company discount.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.56	0.49
Region: Korea	0.51	0.58
Macro:		
Generic 1st 'CO' Future	0.41	0.30
JPM China A-shares Sentiment	-0.26	-0.20
Emerging Central Bank Rate	0.09	0.12
Quant Styles:		
Quality	-0.10	-0.10
Growth	-0.10	-0.10
LowVol	-0.02	0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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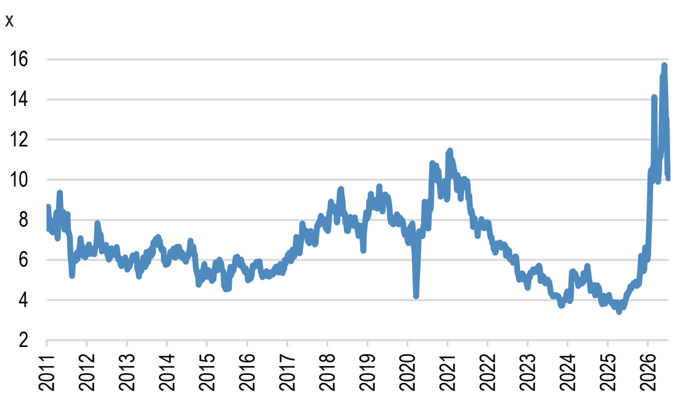
Table 8: HMC: Summary of key assumptions and financials

'000 units (retail sales), Won (FX), US$ (Incentives), Wbn (Financials)

	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Retail sales	**4,157**	**4,047**	**4,094**	**4,119**	**4,292**	**4,399**	**4,481**	**956**	**1,043**	**1,036**	**1,059**	**949**	**999**	**1,040**	**1,126**
Korea	762	690	697	642	693	714	728	162	184	177	174	154	154	152	206
US	870	912	982	1,012	1,032	1,053	1,074	221	256	261	245	224	266	260	248
Europe	559	542	533	517	528	528	528	133	142	133	125	130	132	127	137
India	595	595	568	625	687	722	736	137	131	137	162	153	140	152	150
FX															
USDKRW	1,306	1,365	1,423	1,492	1,500	1,500	1,500	1,453	1,401	1,387	1,452	1,467	1,502	1,500	1,500
Incentives															
US incentives	1,840	2,913	3,130	2,883	3,200	3,200	3,200	3,198	2,959	3,634	2,729	2,508	3,025	3,000	3,000
Financials															
Revenue	**162,701**	**175,232**	**186,255**	**196,232**	**206,671**	**212,153**	**216,153**	**44,408**	**48,287**	**46,721**	**46,839**	**45,939**	**48,874**	**50,143**	**51,276**
Auto	130,186	136,725	145,053	153,611	162,590	166,897	170,247	34,718	37,030	36,715	36,590	34,539	37,996	40,170	40,907
Finance	22,401	28,446	30,288	31,883	32,325	32,963	33,614	7,398	8,269	7,189	7,432	8,991	8,240	7,206	7,446
Others	10,114	10,061	10,914	10,737	11,756	12,292	12,292	2,292	2,988	2,817	2,817	2,409	2,638	2,766	2,923
% y/y	***14%***	***8%***	***6%***	***5%***	***5%***	***3%***	***2%***	***9%***	***7%***	***9%***	***0%***	***3%***	***1%***	***7%***	***9%***
OP	**15,127**	**14,240**	**11,468**	**11,822**	**13,280**	**14,099**	**14,917**	**3,634**	**3,602**	**2,537**	**1,695**	**2,515**	**2,876**	**3,471**	**2,961**
% y/y	*54%*	*-6%*	*-19%*	*3%*	*12%*	*6%*	*6%*	*2%*	*-16%*	*-29%*	*-40%*	*-31%*	*-20%*	*37%*	*75%*
OP margin	***9.3%***	***8.1%***	***6.2%***	***6.0%***	***6.4%***	***6.6%***	***6.9%***	***8.2%***	***7.5%***	***5.4%***	***3.6%***	***5.5%***	***5.9%***	***6.9%***	***5.8%***
NP	**12,272**	**13,230**	**10,365**	**10,684**	**11,783**	**12,739**	**13,597**	**3,382**	**3,250**	**2,548**	**1,184**	**2,585**	**2,697**	**3,184**	**2,218**
% y/y	*54%*	*8%*	*-22%*	*3%*	*10%*	*8%*	*7%*	*0%*	*-22%*	*-21%*	*-52%*	*-24%*	*-17%*	*25%*	*87%*
NP margin	***7.5%***	***7.5%***	***5.6%***	***5.4%***	***5.7%***	***6.0%***	***6.3%***	***7.6%***	***6.7%***	***5.5%***	***2.5%***	***5.6%***	***5.5%***	***6.3%***	***4.3%***
NP to parent	**11,962**	**12,527**	**9,446**	**9,737**	**10,782**	**11,822**	**12,674**	**3,157**	**2,998**	**2,261**	**1,029**	**2,335**	**2,465**	**2,965**	**1,971**

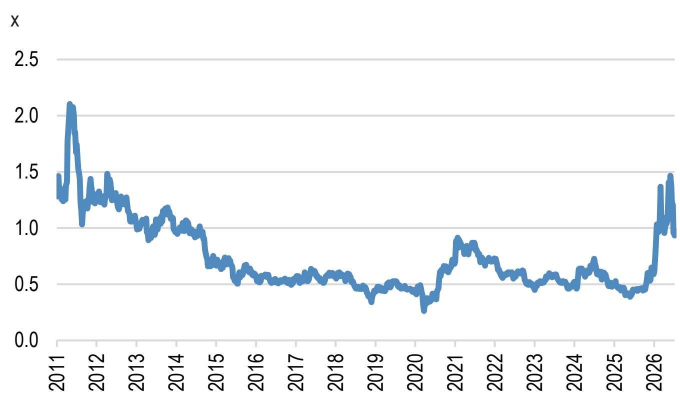
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates

Figure 1: HMC: 12m forward P/E bands



Source: Bloomberg Finance L.P.

Figure 2: HMC: 12m forward P/B bands



Source: Bloomberg Finance L.P.

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Investment Thesis, Valuation and Risks

Hyundai Motor Company *(Overweight; Price Target: W640,000)*

Investment Thesis

We reiterate Overweight on Hyundai Motor (HMC). Near-term earnings face headwinds from a slower UTR (~85%), input cost inflation led by aluminum, and volume weakness in Korea amid an aging model cycle. However, we expect a meaningful recovery in 2H as new models launch across Korea, the US, and Europe, driving volume normalization and UTR improvement. Beyond the core auto business, tangible progress in HMG's robotics and autonomous driving efforts provides additional upside optionality.

Valuation

Our Dec-27 PT of W640,000 is based on SOTP: 1) valuing the auto business at 11x 2028E P/E (referenced by non-traditional OEMs with ADAS capabilities); and 2) including the value of a 28% stake in Hyundai Motor Group's robotics business at ~W14tn, which reflects the mid-point of our bull/bear analysis after applying a 30% holding company discount.

HMC: SOTP valuation

Wbn, x, %

		Value	Note
Auto business	**(a)**	**130,045**	
2028E Net profit		11,822	
Target P/E		11x	Referenced by non-traditional OEMs with ADAS capabilities
Robotics business	**(b) = 28%x(c)x(1-d)**	**13,806**	**28% stake in Hyundai Motor Group's robotics business**
Estimated value	(c)	70,440	Mid-point value based on our bull/bear case analysis on the robotics business (W20tn-W121tn)
Holding company discount	(d)	30%	
Preferred shares	**(e)**	**12,909**	
Target common share market cap	**(a)+(b)-(e)**	**130,942**	
Price target		**640,000**	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Risks to our rating and price target include: 1) heightened macro uncertainties exerting downward pressure on auto sales volumes; 2) delays in achieving key development milestones for the ADAS system; and 3) possible setbacks in HMG's robotics development and manufacturing plans.

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Hyundai Motor Company: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E
Revenue	**186,254**	**196,232**	**206,671**	**212,153**
COGS	(152,038)	(158,765)	(165,693)	(169,621)
Gross profit	**34,217**	**37,467**	**40,978**	**42,531**
SG&A	(22,749)	(25,645)	(27,697)	(28,433)
Adj. EBITDA	**16,484**	**18,273**	**22,455**	**23,857**
D&A	(5,016)	(6,451)	(9,174)	(9,758)
Adj. EBIT	**11,468**	**11,822**	**13,280**	**14,099**
Net Interest	328	12	34	139
Adj. PBT	**13,842**	**14,467**	**15,114**	**16,982**
Tax	(3,477)	(3,782)	(4,140)	(4,476)
Minority Interest	(919)	(947)	(1,000)	(916)
Adj. Net Income	**9,446**	**9,737**	**10,782**	**11,822**
Reported EPS	35,964	37,575	42,181	46,250
Adj. EPS	**35,964**	**37,575**	**42,181**	**46,250**
DPS	**10,000**	**10,000**	**11,500**	**13,000**
Payout ratio	27.8%	26.6%	27.3%	28.1%
Shares outstanding	263	259	256	256

Balance Sheet	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,361	24,365	26,340	31,398
Accounts receivable	69,694	65,411	68,890	70,718
Inventories	20,662	19,846	20,712	21,203
Other current assets	94,156	89,056	93,402	95,720
Current assets	**120,777**	**121,682**	**128,003**	**135,380**
PP&E	48,750	53,425	56,276	59,152
LT investments	45,719	45,719	45,719	45,719
Other non current assets	190,050	190,050	190,050	190,050
Total assets	**368,845**	**375,259**	**384,865**	**395,444**
Short term borrowings	44,149	44,149	44,149	44,149
Payables	32,426	31,753	33,139	33,924
Other short term liabilities	12,004	12,004	12,004	12,004
Current liabilities	**88,579**	**87,906**	**89,292**	**90,077**
Long-term debt	131,240	131,240	131,240	131,240
Other long term liabilities	21,377	21,377	21,377	21,377
Total liabilities	**241,197**	**240,523**	**241,909**	**242,695**
Shareholders' equity	115,447	121,586	128,806	137,683
Minority interests	12,202	13,149	14,150	15,066
Total liabilities & equity	**368,845**	**375,259**	**384,865**	**395,444**
BVPS	**439,541**	**469,199**	**503,900**	**538,627**
y/y Growth	*6.3%*	*6.7%*	*7.4%*	*6.9%*
Net debt/(cash)	148,768	142,764	140,789	135,730

Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**(5,991)**	**21,562**	**17,997**	**20,964**
o/w Depreciation & amortization	5,016	6,451	9,174	9,758
o/w Changes in working capital	(6,764)	4,426	(2,960)	(1,533)
Cash flow from investing activities	**(10,347)**	**(11,960)**	**(12,460)**	**(12,960)**
o/w Capital expenditure	(8,367)	(9,000)	(9,500)	(10,000)
as % of sales	*4.5%*	*4.6%*	*4.6%*	*4.7%*
Cash flow from financing activities	**15,684**	**(3,597)**	**(3,562)**	**(2,945)**
o/w Dividends paid	(3,689)	(2,597)	(2,562)	(2,945)
o/w Shares issued/(repurchased)	-	-	-	-
o/w Net debt issued/(repaid)	18,900	0	0	0
Net change in cash	**(654)**	**6,004**	**1,975**	**5,059**
Adj. Free cash flow to firm	**(14,358)**	**12,562**	**8,497**	**10,964**
y/y Growth	*4.6%*	*(187.5%)*	*(32.4%)*	*29.0%*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	18.4%	19.1%	19.8%	20.0%
EBITDA margin	8.9%	9.3%	10.9%	11.2%
EBIT margin	6.2%	6.0%	6.4%	6.6%
Net profit margin	5.1%	5.0%	5.2%	5.6%
ROE	8.4%	8.2%	8.6%	8.9%
ROA	2.7%	2.6%	2.8%	3.0%
ROCE	3.2%	3.1%	3.3%	3.5%
SG&A/Sales	12.2%	13.1%	13.4%	13.4%
Net debt/Equity	1.2	1.1	1.0	0.9
Net debt/EBITDA	9.0	7.8	6.3	5.7
Sales/Assets (x)	0.5	0.5	0.5	0.5
Assets/Equity (x)	3.2	3.1	3.0	2.9
Interest cover (x)	NM	NM	NM	NM
Operating leverage	(309.4%)	57.7%	231.9%	232.3%
Tax rate	25.1%	26.1%	27.4%	26.4%
Revenue y/y Growth	6.3%	5.4%	5.3%	2.7%
EBITDA y/y Growth	(11.0%)	10.8%	22.9%	6.2%
EPS y/y Growth	(24.3%)	4.5%	12.3%	9.6%

Valuation	FY25A	FY26E	FY27E	FY28E
P/E (x)	13.2	12.6	11.2	10.2
P/BV (x)	1.1	1.0	0.9	0.9
EV/EBITDA (x)	17.2	15.3	12.4	11.5
Dividend Yield	2.1%	2.1%	2.4%	2.7%

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

Overweight

000270.KS, 000270 KS
Price (07 Jul 26):W152,500

▲**Price Target (Dec-27):W260,000**
Prior (Dec-26):W240,000

Korea Auto, EV battery, Nuclear and Utility

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Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	6,087	4,713A	4,464
Q2	5,823	6,353	7,219
Q3	3,685	6,783	7,467
Q4	3,794	4,566	4,944
FY	19,457	22,414	24,095

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	16	13	7	21	14
Growth	28	58	52	76	37
Momentum	42	56	58	18	9
Quality	10	18	16	40	30
Low Vol	27	20	28	18	65
ESGQ	98	94	91	95	94

Kia Corp

2Q in-line with Consensus on resilient UTR

We forecast Kia to deliver W2.9tn OP, in-line with BBGe, underpinned by decent volume growth and a strong UTR (~100%). Kia delivered robust retail sales, and we expect momentum to continue with its current model lineup. While input cost inflation is also a headwind for Kia, volume growth should provide a meaningful offset alongside FX tailwinds. We maintain Overweight, supported by Hyundai Motor Group's broader robotics and autonomous driving initiatives. We raise our 2026E OP estimate by 2% on strong volume growth, while lowering 2027-28E estimates by 2-4% mainly on cost inflation, and set our Dec-27 PT at W260,000.

Table 9: Kia: 2Q26 preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPMe	BBG	Diff.				
Revenue	**33,732**	**32,410**	**4%**	**29,350**	**15%**	**29,502**	**14%**
OP	**2,920**	**2,788**	**5%**	**2,765**	**6%**	**2,205**	**32%**
OP margin	8.7%	8.6%		9.4%		7.5%	
NP	**2,469**	**2,388**	**3%**	**2,268**	**9%**	**1,830**	**35%**
NP margin	7.3%	7.4%		7.7%		6.2%	

Source: Company data, J.P. Morgan estimates.

Table 10: Kia: Estimate revisions

Wbn, %

	2026E			2027E			2028E		
	Old	New	% chg	Old	New	% chg	Old	New	% chg
Revenue	**123,257**	**123,860**	**0%**	**127,685**	**129,822**	**2%**	**130,121**	**131,456**	**1%**
% y/y	*8%*	*9%*		*4%*	*5%*		*2%*	*1%*	
OP	**10,161**	**10,412**	**2%**	**11,136**	**10,920**	**-2%**	**12,060**	**11,583**	**-4%**
OP margin	8.2%	8.4%		8.7%	8.4%		9.3%	8.8%	
NP	**8,539**	**8,709**	**2%**	**9,516**	**9,363**	**-2%**	**10,252**	**10,073**	**-2%**
NP margin	6.9%	7.0%		7.5%	7.2%		7.9%	7.7%	

Source: J.P. Morgan estimates

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	25.4%	-5.0%	1.6%	54.7%
Rel	-56.3%	1.1%	-37.7%	-95.6%

Company Data

Shares O/S (mn)	394
52-week range (W)	212,500-97,400
Market cap ($ mn)	39,276
Exchange rate	1,528.65
Free float (%)	52.9%
3M ADV (mn)	2.01
3M ADV ($ mn)	211.5
Volatility (90 Day)	68
Index	KOSPI
BBG ANR (Buy | Hold | Sell)	34|0|0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	114,141	123,860	129,822	131,456
Adj. EBITDA	11,792	13,857	15,625	16,659
Adj. EBIT	9,078	10,412	10,920	11,583
Adj. net income	7,561	8,710	9,363	10,073
Net margin	6.6%	7.0%	7.2%	7.7%
Adj. EPS	19,457	22,414	24,095	25,922
BBG EPS	19,473	21,721	23,561	25,357
Cashflow from operations	9,054	13,550	14,009	15,103
FCFF	4,061	7,350	7,509	7,803
Margins and Growth				
Revenue Growth Y/Y (%)	6.2%	8.5%	4.8%	1.3%
EBITDA margin	10.3%	11.2%	12.0%	12.7%
EBITDA Growth Y/Y (%)	(22.5%)	17.5%	12.8%	6.6%
EBIT margin	8.0%	8.4%	8.4%	8.8%
Adj. EPS growth	(21.6%)	15.2%	7.5%	7.6%
Ratios				
Adj. tax rate	26.2%	27.0%	26.0%	26.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	10.9%	11.5%	11.3%	10.9%
ROE	12.9%	13.6%	13.5%	13.2%
Valuation				
FCFF yield	6.9%	12.4%	12.7%	13.2%
Dividend yield	4.5%	4.5%	4.6%	5.1%
EV/EBITDA	2.3	1.7	1.2	0.9
EV/Revenue	0.2	0.2	0.1	0.1
Adj. P/E	7.8	6.8	6.3	5.9

Summary Investment Thesis and Valuation

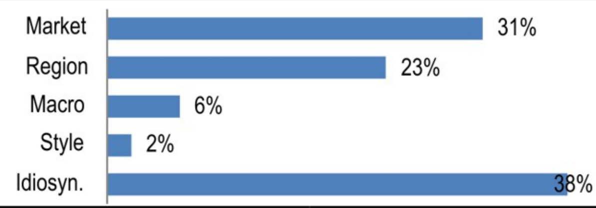
Investment Thesis

We maintain Overweight on Kia. The company continues to deliver resilient volume growth and a strong UTR (~100%), with momentum expected to be sustained on its current model lineup. While input cost inflation poses a headwind, volume growth and FX tailwinds should provide a meaningful offset. Kia also benefits from Hyundai Motor Group's broader robotics and autonomous driving initiatives, offering additional upside.

Valuation

Our Dec-27 PT of W260,000 is based on SOTP: 1) valuing the auto business at 9x 2028E P/E (referenced by non-traditional OEMs with ADAS capabilities); and 2) including the value of a 17% stake in Hyundai Motor Group's robotics business at ~W8tn, which reflects the mid-point of our bull/bear analysis after applying a 30% holding company discount.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.65	0.56
Region: Korea	0.57	0.58
Macro:		
Generic 1st 'CO' Future	0.51	0.36
Markit EM Composite PMI SA	-0.24	-0.18
US 10 Year Yield	-0.26	-0.15
Quant Styles:		
Quality	-0.26	-0.20
Size	-0.28	-0.17
Growth	-0.14	-0.17

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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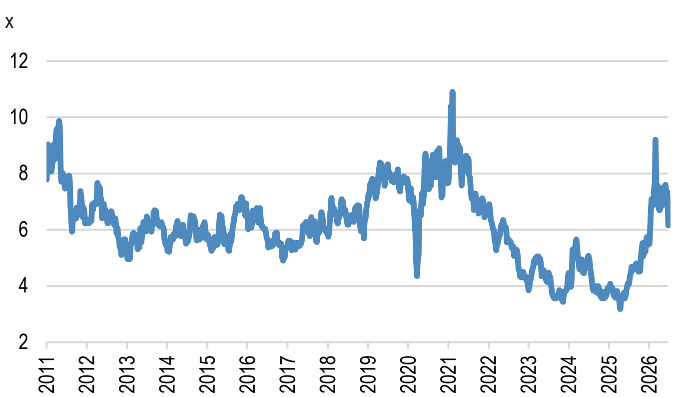
Table 11: Kia: Summary of key assumptions and financials

'000 units (retail sales), Won (FX), US$ (incentives), Wbn (financials)

	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Retail sales	**3,012**	**2,982**	**3,091**	**3,276**	**3,305**	**3,343**	**3,387**	**752**	**791**	**774**	**774**	**779**	**837**	**815**	**745**
Korea	564	540	546	589	578	583	589	134	142	138	132	142	154	141	129
US	782	796	852	886	895	904	922	199	218	220	216	207	224	229	209
Europe	602	559	536	579	579	568	568	145	142	131	119	146	158	143	108
India	245	243	280	322	338	355	355	69	63	62	86	77	79	76	66
FX															
USDKRW	1,306	1,365	1,423	1,492	1,500	1,500	1,500	1,453	1,401	1,387	1,452	1,467	1,502	1,500	1,500
Incentives															
US incentives	1,168	3,104	3,264	3,435	3,500	3,500	3,500	3,243	2,874	3,450	3,489	3,382	3,357	3,500	3,500
Financials															
Revenue	**99,808**	**107,449**	**114,141**	**123,860**	**129,822**	**131,456**	**133,390**	**28,018**	**29,350**	**28,686**	**28,088**	**29,502**	**33,732**	**32,819**	**27,807**
% y/y	*15%*	*8%*	*6%*	*9%*	*5%*	*1%*	*1%*	*7%*	*6%*	*8%*	*3%*	*5%*	*15%*	*14%*	*-1%*
OP	**11,608**	**12,667**	**9,078**	**10,412**	**10,920**	**11,583**	**11,948**	**3,009**	**2,765**	**1,462**	**1,843**	**2,205**	**2,920**	**3,164**	**2,123**
% y/y	*60%*	*9%*	*-28%*	*15%*	*5%*	*6%*	*3%*	*-12%*	*-24%*	*-49%*	*-32%*	*-27%*	*6%*	*116%*	*15%*
OP margin	11.6%	11.8%	8.0%	8.4%	8.4%	8.8%	9.0%	10.7%	9.4%	5.1%	6.6%	7.5%	8.7%	9.6%	7.6%
NP	**8,778**	**9,775**	**7,554**	**8,709**	**9,363**	**10,073**	**10,558**	**2,393**	**2,268**	**1,422**	**1,471**	**1,830**	**2,469**	**2,636**	**1,774**
% y/y	*62%*	*11%*	*-23%*	*15%*	*8%*	*8%*	*5%*	*-15%*	*-23%*	*-37%*	*-16%*	*-24%*	*9%*	*85%*	*21%*
NP margin	8.8%	9.1%	6.6%	7.0%	7.2%	7.7%	7.9%	8.5%	7.7%	5.0%	5.2%	6.2%	7.3%	8.0%	6.4%
NP to parent	**8,777**	**9,773**	**7,561**	**8,710**	**9,363**	**10,073**	**10,558**	**2,393**	**2,269**	**1,425**	**1,474**	**1,831**	**2,469**	**2,636**	**1,774**

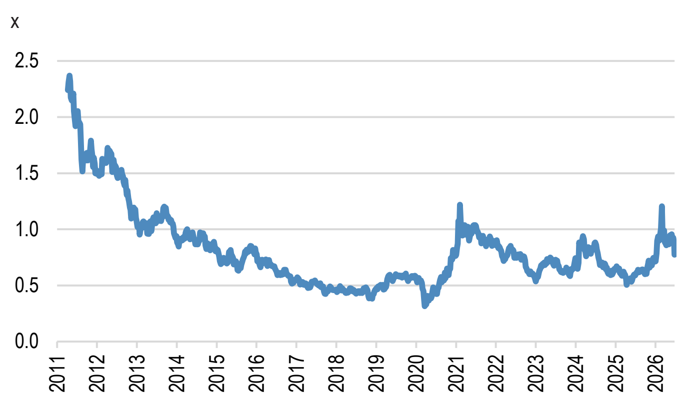
Source: Company data, Bloomberg Finance L.P. and J.P. Morgan estimates.

Figure 3: Kia: 12m forward P/E bands



Source: Bloomberg Finance L.P.

Figure 4: Kia: 12m forward P/B bands



Source: Bloomberg Finance L.P.

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Investment Thesis, Valuation and Risks

Kia Corp *(Overweight; Price Target: W260,000)*

Investment Thesis

We maintain Overweight on Kia. The company continues to deliver resilient volume growth and a strong UTR (~100%), with momentum expected to sustain on its current model lineup. While input cost inflation poses a headwind, volume growth and FX tailwinds should provide a meaningful offset. Kia also benefits from Hyundai Motor Group's broader robotics and autonomous driving initiatives, offering additional upside.

Valuation

Our Dec-27 PT of W260,000 is based on SOTP: 1) valuing the auto business at 9x 2028E P/E (referenced by non-traditional OEMs with ADAS capabilities); and 2) including the value of a 17% stake in Hyundai Motor Group's robotics business at ~W8tn, which reflects the mid-point of our bull/bear analysis after applying a 30% holding company discount.

Kia: SOTP valuation

Wbn, x, %

		Value	Note
Auto business	**(a)**	**90,659**	
2028E Net profit		10,073	
Target P/E		9x	Referenced by non-traditional OEMs with ADAS capabilities; ~15% discount to HMC
Robotics business	**(b) = 17%x(c)x(1-d)**	**8,382**	**17% stake in Hyundai Motor Group's robotics business**
Estimated value (2028E)	(c)	70,440	Mid-point value based on our bull/bear case analysis on the robotics business (W20tn-W121tn)
Holding company discount	(d)	30%	
Target market cap	**(a)+(b)**	**99,042**	
Price target		**260,000**	

Source: Bloomberg Finance L.P., J.P. Morgan estimates

Risks to Rating and Price Target

Risks to our rating and price target include: 1) heightened macro uncertainties exerting downward pressure on auto sales volumes; 2) delays in achieving key development milestones for the ADAS system; and 3) possible setbacks in HMG's robotics development and manufacturing plans.

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Kia Corp: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E
Revenue	**114,141**	**123,860**	**129,822**	**131,456**
COGS	(91,633)	(98,516)	(103,284)	(104,060)
Gross profit	**22,508**	**25,344**	**26,538**	**27,397**
SG&A	(13,430)	(14,933)	(15,618)	(15,814)
Adj. EBITDA	**11,792**	**13,857**	**15,625**	**16,659**
D&A	(2,714)	(3,446)	(4,704)	(5,077)
Adj. EBIT	**9,078**	**10,412**	**10,920**	**11,583**
Net Interest	874	807	900	1,061
Adj. PBT	**10,241**	**11,931**	**12,653**	**13,613**
Tax	(2,687)	(3,222)	(3,290)	(3,539)
Minority Interest	7	1	0	0
Adj. Net Income	**7,561**	**8,710**	**9,363**	**10,073**
Reported EPS	19,457	22,414	24,095	25,922
Adj. EPS	**19,457**	**22,414**	**24,095**	**25,922**
DPS	**6,800**	**6,800**	**7,000**	**7,800**
Payout ratio	34.9%	30.3%	29.1%	30.1%
Shares outstanding	389	389	389	389

Balance Sheet	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	13,998	17,546	21,725	26,808
Accounts receivable	6,963	6,881	7,212	7,303
Inventories	14,666	14,074	14,755	14,866
Other current assets	22,190	21,516	22,528	22,730
Current assets	**44,426**	**47,561**	**52,753**	**58,038**
PP&E	19,934	22,092	23,353	25,100
LT investments	28,149	28,149	28,149	28,149
Other non current assets	29,813	29,813	29,813	29,813
Total assets	**98,979**	**104,869**	**111,857**	**119,365**
Short term borrowings	1,365	1,154	1,154	1,154
Payables	18,982	19,703	20,657	20,812
Other short term liabilities	8,032	8,032	8,032	8,032
Current liabilities	**28,378**	**28,888**	**29,842**	**29,997**
Long-term debt	979	979	979	979
Other long term liabilities	9,410	9,410	9,410	9,410
Total liabilities	**37,789**	**38,299**	**39,252**	**39,407**
Shareholders' equity	61,188	66,569	72,603	79,956
Minority interests	3	1	1	1
Total liabilities & equity	**98,979**	**104,869**	**111,857**	**119,365**
BVPS	**157,456**	**171,303**	**186,831**	**205,752**
y/y Growth	*11.0%*	*8.8%*	*9.1%*	*10.1%*
Net debt/(cash)	(19,892)	(23,913)	(28,092)	(33,175)

Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**9,054**	**13,550**	**14,009**	**15,103**
o/w Depreciation & amortization	2,714	3,446	4,704	5,077
o/w Changes in working capital	(615)	1,395	(59)	(46)
Cash flow from investing activities	**(4,960)**	**(6,462)**	**(6,500)**	**(7,300)**
o/w Capital expenditure	(3,765)	(4,767)	(5,033)	(5,800)
as % of sales	*3.3%*	*3.8%*	*3.9%*	*4.4%*
Cash flow from financing activities	**(3,663)**	**(3,541)**	**(3,329)**	**(2,720)**
o/w Dividends paid	(2,559)	(2,642)	(2,642)	(2,720)
o/w Shares issued/(repurchased)	(689)	(687)	(687)	0
o/w Net debt issued/(repaid)	(890)	(211)	0	0
Net change in cash	**432**	**3,548**	**4,179**	**5,083**
Adj. Free cash flow to firm	**4,061**	**7,350**	**7,509**	**7,803**
y/y Growth	*(48.5%)*	*81.0%*	*2.2%*	*3.9%*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	19.7%	20.5%	20.4%	20.8%
EBITDA margin	10.3%	11.2%	12.0%	12.7%
EBIT margin	8.0%	8.4%	8.4%	8.8%
Net profit margin	6.6%	7.0%	7.2%	7.7%
ROE	12.9%	13.6%	13.5%	13.2%
ROA	7.9%	8.5%	8.6%	8.7%
ROCE	10.9%	11.5%	11.3%	10.9%
SG&A/Sales	11.8%	12.1%	12.0%	12.0%
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
Sales/Assets (x)	1.2	1.2	1.2	1.1
Assets/Equity (x)	1.6	1.6	1.6	1.5
Interest cover (x)	NM	NM	NM	NM
Operating leverage	(454.9%)	172.5%	101.6%	481.9%
Tax rate	26.2%	27.0%	26.0%	26.0%
Revenue y/y Growth	6.2%	8.5%	4.8%	1.3%
EBITDA y/y Growth	(22.5%)	17.5%	12.8%	6.6%
EPS y/y Growth	(21.6%)	15.2%	7.5%	7.6%

Valuation	FY25A	FY26E	FY27E	FY28E
P/E (x)	7.8	6.8	6.3	5.9
P/BV (x)	1.0	0.9	0.8	0.7
EV/EBITDA (x)	2.3	1.7	1.2	0.9
Dividend Yield	4.5%	4.5%	4.6%	5.1%

Source: Company reports and J.P. Morgan estimates.
Note: W in billions (except per-share data).Fiscal year ends Dec. o/w - out of which

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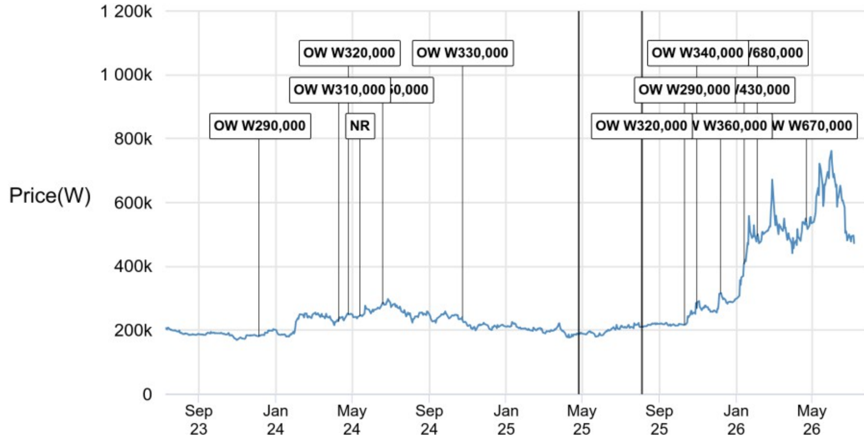
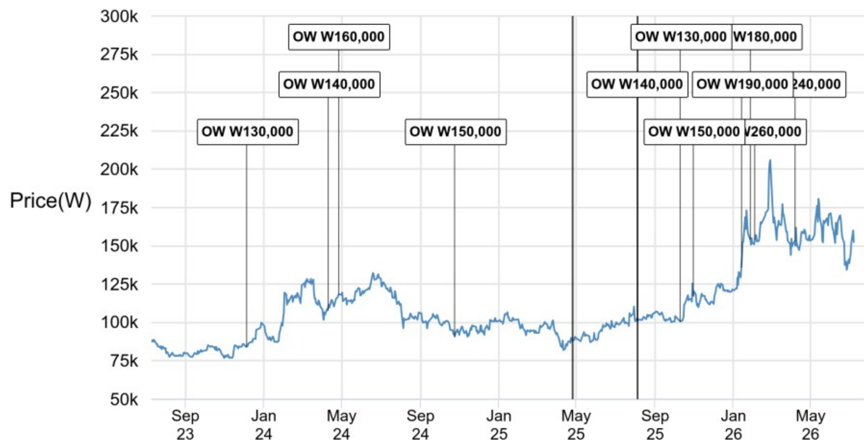


Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 14, 2000. All share prices are as of market close on the previous business day.
Break in coverage Apr 25, 2025 - Aug 04, 2025.

Date	Rating	Price (W)	Price Target (W)
06-Dec-23	OW	181400	290,000
11-Apr-24	OW	228000	310,000
26-Apr-24	OW	250000	320,000
14-May-24	NR	245000	--
19-Jun-24	OW	283000	350,000
24-Oct-24	OW	241000	330,000
04-Aug-25	OW	210000	320,000
11-Oct-25	OW	217000	290,000
31-Oct-25	OW	269000	340,000
08-Dec-25	OW	314500	360,000
14-Jan-26	OW	406500	430,000
04-Feb-26	OW	494500	680,000
23-Apr-26	OW	540000	670,000

Kia Corp (000270.KS, 000270 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 14, 2000. All share prices are as of market close on the previous business day.
Break in coverage Apr 25, 2025 - Aug 04, 2025.

Date	Rating	Price (W)	Price Target (W)
06-Dec-23	OW	84100	130,000
11-Apr-24	OW	108000	140,000
27-Apr-24	OW	118200	160,000
25-Oct-24	OW	90900	150,000
04-Aug-25	OW	100800	140,000
11-Oct-25	OW	100600	130,000
31-Oct-25	OW	117300	150,000
14-Jan-26	OW	135900	190,000
28-Jan-26	OW	154200	180,000
04-Feb-26	OW	154300	260,000
07-Apr-26	OW	153000	240,000

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